

climb recently, with July seeing the consumer price index (CPI) jump to a 15-month high of 7.44 per cent, from 4.87 per cent in the previous month. (See graph *Uphill Run*.) On the other hand, crude oil prices—though much lower than the highs they touched around the middle of 2022 (they had stayed above the \$110 a barrel-mark in most weeks between February and July 2022)—are still hovering around \$85 a barrel. It was mostly below \$80 between April and July this year. (See graph *Calm before the storm?*)

Sanjay Mookim, India Strategist and Head of Research at financial services giant J.P. Morgan, believes that higher oil prices—that hurt India's fiscal and current account deficits—is one of the key risks. "India's macro conditions have improved as the current account deficit has fallen sharply. Inflation has also fallen with lower commodity prices. Both of these can reverse if oil were to move higher," he says. This assumes significance as higher oil prices fuel inflation, which in turn leads to central banks raising interest rates to control inflation, a move that is not particularly liked by the stock markets.

60 | The US Fed, unarguably the most powerful central bank globally, has already said that there are enough data points to build a case for further rate hikes. "Most participants continued to see significant upside risks to inflation, which could require further tightening of monetary policy," states the minutes of the US Fed's July 25-26 policy meeting. Deepak Jasani, Head of Retail Research at HDFC Securities, believes that the Fed's hawkish stance is another key risk facing the Indian stock markets. "High inflation and a more hawkish commentary or action from the US Fed than what the market is expecting, geopolitical events, or global debt related repercussions, could impact the global risk appetite going forward."

In a similar context, Mahesh Patil, Chief Investment Officer of Aditya Birla Sun Life AMC, says that future policy actions by the US Fed and the overall volatility in the global macro environment may be a dampener in the near term. He adds that the current boil in crude prices—up around 15 per cent in the past five months between March and August—can affect the Indian markets as they are actively tracked by domestic as well as foreign investors.

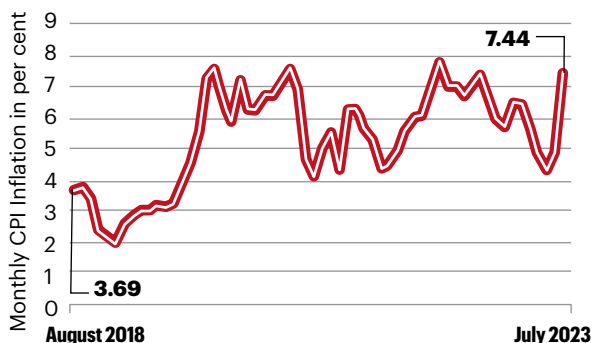
So, crude prices, again!

A NEXUS OF RISKS

It's not only about oil prices. All the risks are closely interlinked, even those related to earnings growth outlook and, as Patil points out, the liquidity flows coming from FPIs and DIIs. Rakesh Arora, Managing Partner of Go India Advisors and former head of India research at

UPHILL RUN

Retail inflation has crossed the RBI's comfort zone of 4 per cent, with commentary of it going higher



SOURCE CMIE ECONOMIC OUTLOOK

CALM BEFORE THE STORM?

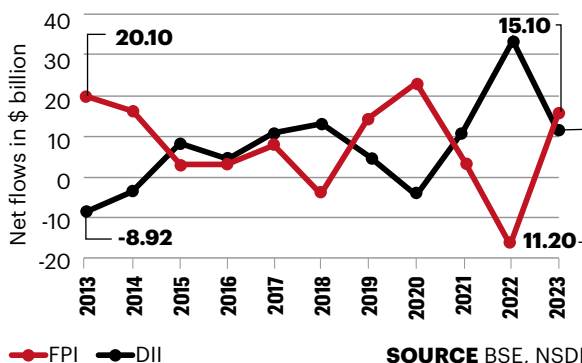
Although stable now, crude oil prices have risen in recent months



SOURCE INVESTING.COM

TRACKING THE MONEY

Inflows from DIIs and FPIs into the markets have mostly diverged over the years



SOURCE BSE, NSDL